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Adjustments:

(a) Closing stock was valued at ` 35,000

(b) Unexpired advertising ` 250

(c) Provision for bad and doubtful debts is to be increased to ` 3,000

(d) Provide 2% for discount on debtors.

(**Answer**: Gross profit ` 62,500; Net profit ` 44,410; Balance sheet total ` 1,62,410)

19. Following are the ledger balances of Devi as on 31st December, 2016.

Debit balance	`	Credit balance	`
Purchases	35,000	Goodwill	40,000
Salaries	11,750	Sundry debtors	20,500
Drawings	4,500	Furniture	31,000
Opening Stock	6,250	General expenses	3,250
Capital	50,000	Commission received	2,750
Sales	78,500	Loan	44,000
Carriage inwards	21,800	Cash at bank	3,100
Bad debts	600	Provision for bad debts	2,500

Prepare trading and profit and loss account for the year ended 31st December, 2016 and balance sheet as on that date.

(a) Stock on 31st December, 2016 ` 5,800.

(b) Write off bad debts ` 500.

(c) Make a provision for bad debts @ 5%.

(d) Provide for discount on debtors @ 2%.

(**Answer:** Gross profit: ` 21,250; Net profit ` 9,020, Balance sheet total ` 98,520)

20. From the following trial balance of Mohan for the year ended 31st March, 2017 and additional information, prepare trading and profit and loss account and balance sheet.

Particulars	Debit `	Credit `
Capital		1,00,194
Drawings	7,500	
Purchases	8,28,890	
Promotional expenses	58,405	
Sales		9,17,600
Bad debts	4,925	
Discount	7,745	
Provision for doubtful debts		250
Wages	16,000	